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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWEDEN

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

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RETOUR BUREAU 706

MAY 1968

BASIC STATISTICS OF SWEDEN

THE LAND

Area (1 000 sq.km)	450
Lakes (1 000 sq.km)	39
Arable area (1 000 sq.km)	31
Woodland (1 000 sq.km)	228

Major cities. including suburbs (Dec. 1967):	
Stockholm	1 280 000
Gothenburg	637 000
Malmo	386 000

THE PEOPLE

Population (Dec. 1967)	7 898 000
No. of inhabitants per sq.km	17
Net natural increase (average 1962-1966)	40 500

Net natural increase per 1 000 inhabitants (average 1962-1966)	5.3
Net natural immigration (average 1962-1966)	21 000

PRODUCTION

Gross National Product in 1967 (millions of Kronor)	120 917
GNP per head, US $	2 965

Gross fixed capital formation (1967):	
Percentage of GNP	24
Per head. US $	705

THE GOVERNMENT

Public consumption 1967 (percentage of GNP)	21
General government current revenue in 1966 (percentage of GNP)	46
Public gross fixed capital formation in 1966 (percentage of GNP)	4
Public debt at end 1966 (ratio to general government revenue in 1966)	72

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
Social democrats	79	113
Liberals	25	43
Conservatives	25	33
Centre	21	35
Communists	1	8
Other	—	1
	151	233

Last general election: 1964.

Next general election: 1968.

LIVING STANDARDS

Calories per head, per day (1965-1966)	3 005
Average hourly earnings of male industrial workers in 1966 (in Kronor)	10.26
Number of passenger cars in use per 1 000 inhabitants (Dec. 1966)	240

Number of telephones per 1 000 inhabitants (Dec. 1967)	498
Number of radio sets per 1 000 inhabitants (Dec. 1967)	371
Number of TV sets per 1 000 inhabitants (Dec. 1967)	282

FOREIGN TRADE

Exports:	
Exports of goods and services as a percentage of GNP (average 1963-1967)	24
Main exports (percentage of total commodity exports, 1967):	
Forestry products	25
Machinery, apparatus and transport equipment	37
Iron and steel	9
Iron ore	5

Imports:	
Imports of goods and services as a percentage of GNP (average 1963-1967)	24
Main imports (percentage of total commodity imports. 1967):	
Machinery, apparatus and transport equipment	29
Raw materials (non-edible) and fuels	17
Metals and metal products	11
Food, beverages and tobacco	11

THE CURRENCY

Monetary unit: Krona.

Currency units per US $: 5.17

ECONOMIC SURVEYS BY THE OECD

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
by the Economic and Development Review Committee
in May 1968.

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INTRODUCTION

The rise in activity in 1967 was rather more moderate than expected by the authorities at the beginning of the year, and unemployment rose somewhat. Exports held up well in the first half of the year but fell in the second, and private investment demand was weak. At the beginning of the year the authorities adopted a relatively cautious demand management policy, aimed at improving the cost/price performance and the current foreign balance. But government policy was changed progressively in an expansionary direction in the course of the year so that the expansion of activity was relatively well maintained. At the same time the increase in costs and prices slowed down and the current external deficit was considerably reduced. For 1968 the authorities aim at an increase in GNP roughly in line with the growth of capacity, basing themselves on a relatively optimistic export outlook. But the government has stated that measures will be taken to ensure a satisfactory rate of growth if exports or domestic demand should rise less than assumed.

I RECENT TRENDS

Demand

In 1967 the gross national product, according to Swedish definitions, increased by 2.7 per cent in real terms; on the basis of OECD definitions the rise was 3.2 per cent, in line with the expansion of output in the OECD area as a whole (3.4 per cent) but faster than the rate of growth realised by European OECD countries combined (2.7 per cent).

While the rate of increase in GNP was about the same as in the two preceding years, the pattern of the expansion changed markedly. Table 1 shows that private fixed asset formation (excluding residential construction) and inventory accumulation fell, while residential construction and public expenditure on goods and services rose faster than earlier. Private consumption also increased more than in the previous year.

Table 1 **Supply and Use of Resources**
Percentage change from previous year, 1959 prices

	1964	1965	1966	1967
Gross domestic product	7.0	3.8	3.1	2.7
Import of goods and services	9.6	11.4	3.2	2.9
Export of goods and services	10.4	4.0	5.4	4.8
National expenditure	6.8	5.7	2.5	2.2
Change in stocks[1]	1.4	2.5	1.5	0.3
Domestic final demand	5.4	4.6	3.5	3.4
Private consumption	5.3	4.6	1.7	2.5
Private fixed asset formation[2]	3.2	5.0	9.7	–2.3
Dwelling construction	8.9	3.7	–0.3	13.9
Public expenditure on goods and services[2]	6.1	3.8	5.4	6.1

1 Per cent of GDP.
2 Excluding dwelling construction.
Sources: Revised National Budget for 1968 and Swedish national accounts statistics.

Table 2 **Analysis of the Growth of GDP**
1959 prices

	1965	1966	1967
Change from previous year, Kr. million			
AUTONOMOUS DEMAND COMPONENTS:	2 100	1 250	–750
Exports incl. net services	600	950	950
Business fixed investment	550	1 100	–600[1]
Inventory accumulation	950	–800	–1 100
POLICY-DETERMINED DEMAND COMPONENTS:	1 150	1 100	2 375
Public expenditure on goods and services	950	1 100	1 350
Residential construction	200	—	750
Release of investment reserves[2]	—	—	275
Change from previous year in per cent of GDP, incl. estimated multiplier effects[3]			
Autonomous demand components	2.9	1.6	–1.0
Policy determined demand components	1.6	1.5	3.0
Residual[4]	–0.7	—	0.7
Actual change in GDP	3.8	3.1	2.7

1 The actual decline in business fixed investment, was about Kr. 300 million (1959 prices). The figure indicated is an estimate of the decline which would have occurred in the absence of the release of investment funds.
2 Estimated impact on business fixed investment (see also note 1).
3 The initial change in demand components (indicated in the upper half of the Table) as adjusted to take into account secondary multiplier effects on private consumption. The multiplier has been assumed to be 1.12—the actual coefficient in the 1965-67 period.
4 Actual change in GDP less the total estimated impact of autonomous and policy-determined components. The residual may partly be ascribed to short-term irregularities in the propensity to consume and import.
Source: Estimates of the OECD Secretariat.

Table 2 represents an attempt at a further analysis of the deflationary impulses which the economy received in 1967 and the demand impact of stimulative measures taken by the government. It distinguishes between two groups of demand components. The first includes exports, business fixed asset formation and inventory investment, the types of demand most sensitive to cyclical influences, and over which the authorities have little direct control (in the following referred to as autonomous demand components). The second includes public expenditure on goods and services and residential construction which in Sweden are to a large extent determined by government policy (policy-determined demand components). It is assumed that private consumption and imports develop in a relatively stable manner in relation to non-consumption expenditure; i.e., changes in the two groups of demand components referred to above multiplied by an appropriate multiplier give the change in GDP.

On this basis, it can be seen from Table 2 that the increase in the autonomous components accounted for increases in demand representing 2.9 per cent of GDP in 1965 and 1.6 per cent in 1966. In 1967, however, these demand factors exerted a deflationary impact of about 1 per cent of GDP. The rise in exports continued at about the same rate as in the previous year, with a decline in shipments to EEC countries more than offset by sharp increases in exports to other areas, notably EFTA countries. But business fixed asset formation fell by about 600 million in 1959 prices, or 5 per cent. This is an estimate of the decline which would have taken place if there had been no release of investment reserves. It has been assumed, somewhat arbitrarily, that the stimulative effect of the use of investment reserves was equal to the amount released from the Central Bank[1]. The weakening of business fixed investment demand was probably influenced by the decline in profits in 1966, lower capacity utilisation rates and weaker demand trends in Europe. The fall in inventory accumulation was also an important deflationary factor; this decline, beginning in 1966, represented an adjustment from the very high rate of accumulation experienced in 1965.

Figures for the year as a whole conceal important changes in trends during the year. Seasonally adjusted data suggest that, in the first half of the year, exports were rising rather strongly, about offsetting the deflationary impact emanating from business fixed asset formation and

1 When an investment reserve is established, the part of the reserve which would otherwise have been paid in taxes (48 per cent) is frozen at the Central Bank. The other part (52 per cent) does not have to be kept in any specified type of asset; it is left to the company to manage its liquidity position bearing in mind the possibility of a release. Thus, when reserves are released, the company must have at hand—or be able to raise —more than half of the amount it is required to invest.

inventory accumulation, so that the autonomous demand components taken together showed little change from the previous half-year. In the second half, however, the autonomous demand elements exerted a deflationary impact; business fixed investment and inventory accumulation changed little and the rise in exports (excluding ships) levelled off.

The deflationary impact resulting from the autonomous demand components was more than offset by the increase in the policy-determined demand elements; including multiplier effects this increase represented as much as 3.0 per cent of GDP in 1967. Not all of this was due to new measures to stimulate demand. In the first quarter, before new measures had been taken, residential construction rose sharply, facilitated by favourable weather conditions. Moreover, the increase in both residental construction and public expenditure on goods and services was partly due to automatic stabiliser effects. The easing of demand pressures, with some rise in unemployment, enabled central and local authorities to fill a large number of vacancies; it also meant a shortening of building periods and therefore a faster increase in residential construction. But the large number of policy measures that were taken, beginning in the spring (see the section on economic policy) also had a significant impact. It is difficult to separate the effects of policy measures and the automatic stabilisers referred to above; taken together they may have generated an increase in demand in 1967 as a whole representing 1.5 to 2 per cent of GDP: in the second half of the year they may have been responsible for most of the rise in activity.

Private consumption increased by 2.5 per cent in 1967, somewhat more than in 1966, despite a deceleration in the growth of real household incomes from 2.6 per cent to 2.3 per cent. The personal savings ratio fell slightly from 7 per cent in 1966 to 6.7 per cent in 1967. This may have been related to the fact that much of the increases in wages and salaries in 1966 was retroactively paid towards the end of that year and used for purchases in 1967. Sales of automobiles fell by about 8 per cent in 1967, continuing the decline experienced in 1966. It is likely that the sale of cars was mainly determined by other factors than changes in prices and incomes in these two years; among other things the changeover to right-hand traffic from September 1967 and stricter control of old cars are assumed to be important factors. Sales of durables other than cars increased by about 7 per cent in 1967, while the consumption of non-durables and services rose by only 2.5 per cent.

Production and Employment

Table 3 shows that production in the goods-producing industries rose by 4 per cent in 1967, faster than in 1966, with particularly sharp increases

in agriculture—favoured by good weather—and forestry. Building and construction activity also rose fast, reflecting high levels of residential construction and municipal fixed investment. The growth of production in mining and manufacturing slowed down somewhat in 1967, partly reflecting the decline in stockbuilding. The engineering industry (accounting for about 40 per cent of total industrial production) showed a decrease in production excluding ships by 2 per cent. The iron and steel industry was adversely affected by the weak trend in the engineering industry, but showed an almost unchanged output thanks to a sharp increase in exports. Output in the pulp industry was high in the first half of 1967, but fell somewhat in the second half due to an agreement between producers to cut production. Paper production rose by 4 per cent last year but with stocks increasing rapidly, production was reduced towards the end of the year. Output in several industries supplying the building and construction sector increased at good rates, while production in most consumer-goods industries rose moderately.

Output in the service sectors rose by about 2 per cent in 1967, reflecting strong advance in the public sector. Output in the private service sectors seems to have risen little.

Table 3 **Production by Sectors**
Percentage change from previous year

	1964	1965	1966	1967
Agriculture	5	3	–9	10.5
Forestry	10.5	–1.5	–1	14
Building and construction	5	4	4.5	7
Electric light and power	10.5	7	3	6.5
Mining and manufacturing	12	8	4	1.5
Services	5	4.5	3	2
Total	7	4	3	3

Source: Swedish national accounts statistics and Revised National Budget for 1968.

The increase in output was more than accounted for by higher productivity; according to the labour force surveys the total number of employed persons (including even those working only a few hours per week) fell by about 45,000 or over 1 per cent from 1966 to 1967. Excluding persons working less than half the normal working hours per week (census definition) the fall in the number of employed was somewhat less than 1 per cent. As in earlier years there was an outflow of labour from

agriculture; the number of employed fell by about 12 per cent from mid-1966 to mid-1967. Employment in mining and manufacturing declined by about 4 per cent; the number of hours worked fell by about 5 per cent owing to a shortening of the working week from early in the year. With production in industry up by 1.5 per cent, there must have been important gains in productivity. Employment fell slightly also in building and construction, despite a shortening of the working week and the strong increase in output, pointing to a productivity increase even higher than that of industry; the favourable development was probably due to better weather conditions than in 1966 and to the fact that the economy was less strained than earlier. Employment in the public service sectors rose strongly whereas employment in private service sectors remained roughly unchanged.

Including net immigration of about 10 000 persons, the active population (age groups 15-69 years) increased by 31 000 in 1967, whereas total employment fell by some 1 per cent. In spite of this the total number of unemployed (including those participating in retraining courses, relief works, etc.) was only 20 000 to 25 000 higher than in 1966. This suggests that the labour force fell by 1 per cent. There was a marked fall in the labour force participation rates for the age groups 15-25 years, and over 65 years, influenced by the easier labour market conditions. On average, the number of new vacant jobs was 15 per cent lower in 1967 than in 1966. Despite the measures taken by the authorities to stimulate activity and demand for labour, the unemployment ratio of insured workers averaged 1.5 per cent in the last three quarters of 1967 or about 0.5 percentage points above that of the corresponding months in 1966. On a seasonally adjusted basis the unemployment ratio turned down in November and December, and January and February of the present year showed

Table 4 **Employment[1] by Sectors**
Percentage change from previous year

	1964	1965	1966	1967
Agriculture, forestry	–4.3	–8.0	–11.2	–2.2
Industry[2]	0.9	4.1	–3.0	–3.0
Building and construction	1.1	1.9	2.3	1.7
Commerce	–4.1	–2.6	10.0	–4.0
Transportation and communication	1.8	–4.4	6.3	–4.6
Other services	0.4	4.8	4.1	3.4
Total	–0.8	0.8	0.8	–1.2

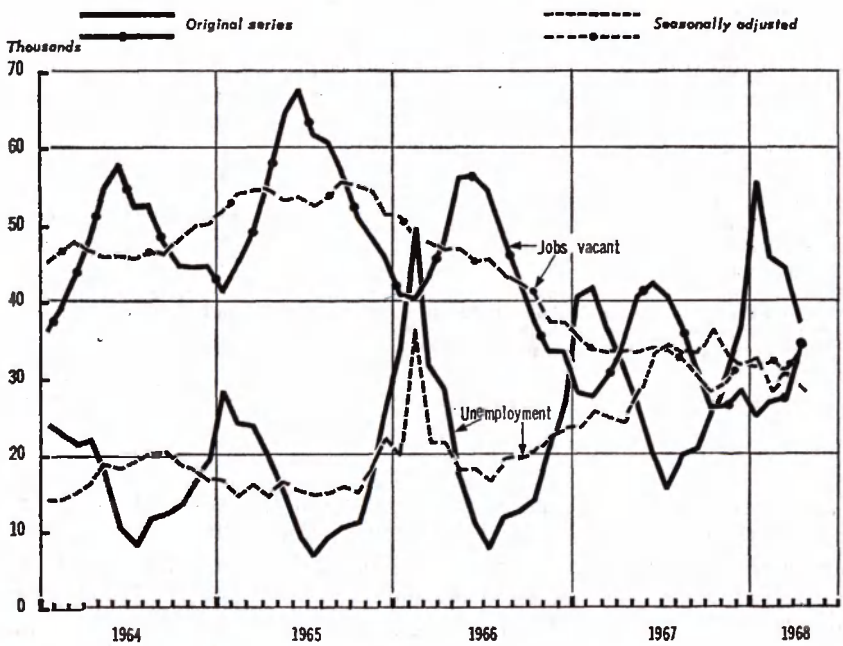
1 Number of persons employed according to definitions of the quarterly labour force surveys.
2 Including public utilities.
Source: Labour Market Statistics (National Labour Market Board).

some further decline, suggesting a strengthening of demand for labour. The statistical indicators for March pointed to a temporary weakening of demand, but the figures for April lie well in line with developments up to February.

The fall in employment in 1967 was largely due to cyclical factors, but continued structural rationalisation in industry, with a movement of labour and capital towards high productivity sectors and bigger firms, contributed. In 1967, 24 500 persons were affected by notices of lay-offs, compared with 20 700 in 1966 and 8 900 in 1965.

Revised calculations indicate that the productive potential may increase by 4 per cent year on average in the 1966-1970 period. With output rising somewhat less than capacity both in 1966 and 1967, some slack has developed. But as resources were very strained in 1965, some easing was desirable. The underutilisation of resources may therefore not amount to very much more than 1 per cent of GNP—1.5 per cent has been given as a reasonable value by the authorities.

Diagram 1 **Labour Market Indicators**



Source: OECD, Main Economic Indicators.

Wages, Prices and Incomes

The development of wages in industry in 1967 was mainly affected by the three-year wage settlement for industrial workers concluded in the spring of 1966. This settlement provided for a reduction of the working week by 50 minutes in each of the years 1967, 1968 and 1969 from 45 to 42½ hours), and increases in hourly wage rates (including fringe benefits and compensation for fewer hours) of about 5 per cent in both 1966 and 1967 and 3.5 per cent in 1968. Furthermore, the settlement includes a clause providing for a guaranteed compensation if wagedrift falls below 3 per cent a year. Similar percentage increases — and in special cases even larger ones — were provided for in the settlements concluded later in 1966 for other wage and salary earners—including public servants.

Table 5 **Hourly Earnings and Wage Bill**
Percentage change from previous year

	1964	1965	1966	1967
MINING AND MANUFACTURING:				
Total hourly wage cost	9.2	11.7	9.1	9.5
of which due to:				
Negotiated increase in hourly earnings	2.4	4.2	4.5	4.0
Fringe benefits	2.1	1.8	0.4	1.5
Wagedrift	4.7	5.7	4.2	4.0
ALL SECTORS:				
Total wage bill	10½[1]	10½[1]	10½	8
of which due to:				
Negotiated increases	3¾	4¾	7½	5¾
Wagedrift	3¼	4½	2½	1¾
Change in employment	2½	2	½	⅓

1 The total increase is not identical with the sum of the components, owing to the fact that employees paid by the week had one more day in 1964 than in 1963 and 1965.

Source: Revised National Budget for 1968 and National Institute of Economic Research.

The rise in unit labour costs slowed down last year. Total hourly wage cost in industry rose in slightly faster than in 1966. But with the strong increase in productivity, unit labour costs in manufacturing rose by only 3.5 per cent. Revised estimates suggest that unit labour costs in this sector increased by 4 per cent both in 1965 and 1966, rather less than assumed earlier. And it now appears that, so far in the 1960's,

Table 6 Unit Labour Costs in Manufacturing
Percentage change from previous year

	USA	Canada	Industrialized OECD Europe[1]	Sweden
1962	–1.7	–0.4	4.9	4.6
1963	–0.8	–0.2	2.6	3.4
1964	0.0	–0.5	3.2	–1.5
1965	–1.3	5.3	4.6	3.9
1966	3.0	0.0	4.0	4.1
1967[2]	5.2	4.3	1.5	3.5
Average 1962-1967	1.2	1.4	3.5	3.0

1 Industrialized OECD countries weighed together according to their importance for Swedish foreign trade.
2 Preliminary estimates.
Sources: OECD Secretariat and Swedish National Accounts (1950-1966).

unit labour costs in manufacturing have risen rather less in Sweden than in other industrialized European OECD countries if these are weighed according to their importance for Swedish foreign trade.

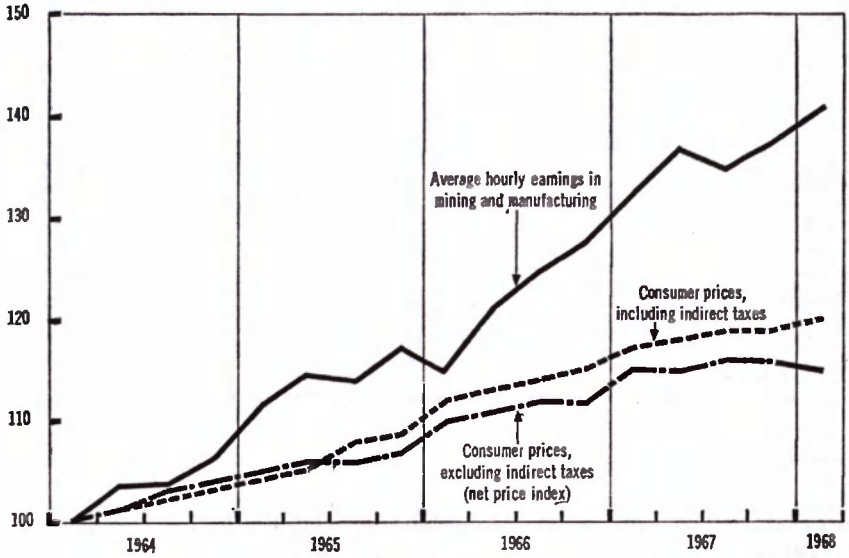
The rise in personal factor incomes slowed down from 9.2 per cent in 1966 to 7.0 per cent in 1967, mainly as a reflection of a slowdown in the rise of wage incomes from 11 per cent in 1966 to 7.9 per cent in 1967. Income from private entrepreneurship and net income from capital rose by 1.7 per cent in 1967 after an increase of only 1.1 per cent the year before. Net transfers from the private to the public sector rose by about 10 per cent and total private disposable incomes are estimated to have increased close to 6.5 per cent.

Table 7 Household Incomes and Expenditure
Percentage change from previous year

	1964	1965	1966	1967
Disposable incomes	9.5	8.2	8.1	6.3
Consumer prices[1]	3.4	5.3	5.6	4.2
Real disposable incomes	5.9	2.7	2.4	2.0
Private real consumption	5.3	4.6	1.7	2.5

1 Consumer price index as adjusted by the Ministry of Finance.
Sources: Revised National Budget for 1968 and National Institute of Economic Research.

Diagram 2 **Prices and Wages**
Quarterly figures, 1964 Q1 = 100



Source: Monthly Digest of Swedish Statistics.

The rise in prices has slowed down considerably. During 1967 consumer prices rose by 3.1 per cent as compared with 4.7 and 6.2 per cent respectively in the two preceding years, and in the last half of 1967 consumer prices were virtually stable. Excluding the effect of changes in indirect taxes and public tariffs, the price index rose by only 2.2 per cent during 1967 (4.4 per cent during 1966). Food prices increased only moderately. The strongest rise occurred for services. In the first three months of 1968 consumer prices increased by 1.0 per cent, mainly reflecting higher taxation of alcohol and a rise in prices of imported fuels.

Balance of Payments

After relatively large deficits in 1965 and 1966 the current external account improved markedly in 1967. The improvement was strongly influenced by the easing of demand pressures at home, which entailed a slowdown of the increase in imports and provided scope for a stronger

Table 8 The Balance of Payments
$ million

	1964	1965	1966	1967
Trade balance	–180	–407	–316	–175
Services, net	211	172	115	98
Transfers, net	–17	–22	–38	–65
Errors and omissions[1]	43	58	72	87
CURRENT BALANCE	57	–199	–167	–55
Long-term capital	55	93	155	55
Trade credits, etc.	56	–32	36	58
Errors and omissions	14	148	69	–94
BALANCE ON NON-MONETARY TRANSACTIONS	182	10	93	–36
Change in official exchange reserves[2]	201	3	56	–194
Change in commercial banks foreign position	–19	7	37	158

1 Official estimate of systematic error in the statistics on current inflow and outflow.
2 Including gold and IMF position, Swedish definitions. The changes according to definitions used by the OECD ($ million): 1964: 206, 1965: 8, 1966: 55, 1967: —186.
Source: Revised National Budget for 1968.

expansion of exports, enabling a decline of the trade deficit by $ 140 million. There was a particularly strong improvement in trade in automobiles and iron and steel. With exports increasing and imports falling, the trade balance of these two commodity groups improved by about $ 150 million. The invisible balance deteriorated, continuing the trend of recent years. The rise in shipping earnings was smaller than earlier and was more than offset by an increase in expenditure on tourism abroad and other services and net transfers to abroad increased. Including an estimated inflow of unrecorded current receipts of $ 90 million under the item " errors and omissions ", the deficit on the current external balance fell to $ 55 million in 1967 ($ 167 million in 1966).

Imports of goods increased by 2.6 per cent in value from 1966 to 1967, with a similar increase in volume. This was rather less than what one could have expected on the basis of earlier experiences. Several factors may have contributed to this. The most important were probably the decline in stock-building from 1.5 per cent of GDP in 1966 to 0.3 per cent in 1967, and the decline in automobile sales which led to a fall in imports of cars of 15 per cent in 1967. Moreover, a mild winter and change to right-hand traffic reduced the need for fuels and the gasoline.

Table 9 **Exports and Imports**
Percentage change in value from previous year

	1964	1965	1966	1967
EXPORTS, total	14.8	8.0	7.4	6.1
Crude materials	19.6	2.0	–1.6	–2.9
Paper and paper products	13.1	1.3	6.7	2.9
Iron and steel	22.8	10.3	10.9	14.0
Non-ferrous metals	10.5	40.5	43.3	–10.2
Automobiles	19.4	8.0	28.1	13.3
Ships and boats	–9.6	25.0	–33.2	31.1
Other manufactures	16.3	8.7	17.2	7.6
Other goods	3.8	17.4	1.2	10.0
IMPORTS, total	13.6	13.5	4.7	2.6
Automobiles	16.6	20.8	–24.1	–15.2
Ships, boats and aeroplanes	–10.6	32.9	0.0	26.5
Other manufactures	16.7	17.4	5.6	6.0
Other goods	9.3	4.0	9.2	–3.0

Sources: Statistical Yearbook 1967, and monthly foreign trade statistics from the Central Bureau of Statistics.

Exports of goods rose by a little more than 6 per cent in value in 1967 and about 5.5 per cent in volume, slightly less than in the preceding year. However, excluding the fortuitous increase in deliveries of ships, exports of other goods rose by only 4.5 per cent in volume in 1967, compared to about 9 per cent in 1966. There was a particularly strong increase in the shipments of iron and steel (15 per cent), wooden products (12 per cent) and " other goods " (11 per cent). Exports of pulp fell, while exports of paper and iron ore grew only slightly, reflecting weak foreign demand. The weaker trend in exports in 1967 can be ascribed to a fall in exports to the EEC area. The EEC share of Swedish exports decreased from 30 per cent in 1966 to 27 per cent in 1967; exports to Germany declined by 9 per cent. On the other hand the EFTA share of Swedish exports increased from about 42 per cent to 44 per cent in 1967.

As noted earlier, merchandise exports, excluding ships, on a seasonally adjusted basis rose fast in the first half of the year, and remained almost unchanged in the second half; including ships there was a slight fall between the two half years. The strong trend in the first half reflected a sharp increase in shipments to other EFTA countries, notably the United Kingdom, probably influenced by the reduction of tariffs on inter-EFTA trade at the begnning of the year, and the removal of the British import

surcharge. In the second half, the rise in exports to EFTA countries slowed down, and sales to EEC countries continued to fall, although shipments to Germany recovered. The increase in exports to non-OECD countries also slowed down markedly in the second half of the year.

Registered capital transactions showed a much smaller inflow than in earlier years. Net long-term capital imports fell from $ 155 million in 1966 to $ 55 million in 1967, mainly because of a strong decline in private borrowing abroad and an increase in repayments, probably influenced by the easier credit market conditions in Sweden. The inflow of short-term trade credits increased somewhat, but there was a strong outflow under the item " errors and omissions " so that the balance on non-monetary transactions showed a deficit of $ 36 million. Official foreign exchange reserves (including the IMF position) fell by $ 186 million during 1967; at the end of the year they stood at $ 841 million, representing two months' merchandise imports. For the first three quarters of the year the reserves were virtually stable, but speculative movements resulted in a considerable outflow of short-term funds in November and the first part of December. The increase in the official discount rate from 5 to 6 per cent on the 15th December and other measures to restrict the capital outflow sufficed to reverse it. In the first quarter of 1968 official reserves increased by $ 69 million.

II ECONOMIC POLICY

In 1965 and 1966 costs and prices rose rather fast and the current external balance showed relatively large deficits. When economic policy was shaped at the beginning of 1967, high priority was given to improving the price/cost performance and the current external balance. To provide scope for an increase in exports, industrial investment and residential construction, measures were taken to restrict the growth of private consumption, public expenditure and certain low-priority investment. But the emphasis of economic policy was promptly changed in a more expansionary direction when it became clear that demand was rising less fast than assumed at the beginning of the year.

Fiscal Policy

The measures taken to restrict the growth of domestic demand at the beginning of 1967 included an increase in the general sales tax from

9.1 to 10 per cent from 1st March, an increase in the tobacco tax, the introduction of a 25 per cent tax on low-priority investment in building applying to projects started between March 1967 and September 1968, and stronger restrictions on the growth of central government expenditure on goods and services. On the whole the government budget was given a more restrictive character than its predecessor.

Beginning in the spring, however, following a reassessment of demand prospects, a large number of measures were taken to stimulate demand. The budgetary measures were largely directed towards stimulating building activity:

(*a*) On 12th May the financial limits for building of schools and pensioners' homes were increased by Kr. 150 million and Kr. 75 million respectively.

(*b*) On 25th August it was announced that house-building would be increased by 2 500 dwelling units, and that the building of another 500 dwelling units in pensioners' homes would be started. The financial limits for building of schools were increased by another Kr. 50 million.

(*c*) On 27th October it was decided that the construction of another 1 500 dwelling units would be started before the end of the year, and that some central government investment projects would be carried out sooner than previously envisaged. Moreover, exemptions from the 25 per cent investment tax could be given for several projects that could be finished during the winter.

(*d*) On 8th December, it was announced that up to Kr. 140 million worth of public orders to the engineering industry would be placed earlier than previously planned; in March 1968 the amount was increased by Kr. 120 million. Local authorities were to get a 20 per cent subsidy from the Government on such orders.

The budget position changed markedly last year. Current and investment expenditure rose by 11 per cent, at about the same rate as in 1966. But budget revenue, despite the higher tax rates referred to above, increased much less than earlier partly due to the slower growth of the tax base. As a result, a surplus of financial savings of Kr. 735 millions in 1966 was replaced by a deficit of Kr. 640 million in 1967, the swing representing 1.1 per cent of GDP. As government lending amounted to more than Kr. 2 billion — Kr. 250 million more than the year before — the overall budget deficit rose to almost Kr. 3 billion.

Table 10 **Central Government Financing**
Kr. million

	1964	1965	1966	1967	1968
CURRENT REVENUE:	21 934	26 590	28 969	30 660	33 370
Direct taxes	9 549	12 201	12 484	12 970	14 080
Indirect taxes	10 777	12 227	14 247	15 360	16 620
Other	1 608	2 162	2 238	2 330	2 670
CURRENT AND INVESTMENT EXPENDITURE	21 140	25 194	28 235	31 300	34 100
Transfer payments	11 454	13 730	15 671	18 500	19 720
Consumption	5 455	6 691	7 424	7 800	8 640
Gross fixed asset formation	4 231	4 773	5 140	5 000	5 740
FINANCIAL SAVINGS	794	1 396	734	–640	–730
LENDING	982	1 377	2 031	2 295	2 570
OVERALL BALANCE	–188	19	–1 297	–2 930	–3 300

Source: Revised National Budget for 1968.

The Swedish authorities consider the maintenance of external balance and the more moderate trend of prices and wages experienced in 1967 as fundamental conditions for preserving full employment and stable growth of economic activity and real incomes. With a recovery of international trade, the spare capacity prevailing at the beginning of 1968 could soon be taken up. A too-strong increase in internal demand could therefore endanger the external balance. To limit the growth of domestic demand, budgetary policy has kept some restrictive elements for 1968, while more selective methods will be used to maintain a high level of employment. In February, indirect taxes on alcoholic beverages were increased, yielding Kr. 200 million additional revenue in a full year. Government expenditure is planned to rise somewhat less fast than in 1967. The deficit on current and investment account is nevertheless expected to increase from Kr. 640 million in 1967 to Kr. 730 million in 1968. Government lending may increase by almost Kr. 300 million, and the overall deficit may therefore become even higher than i 1967 (Kr. 3 300 million).

From lst January 1969 the existing general sales tax will be replaced by a value-added tax. The tax rate—10 per cent—will be maintained and the tax base as far as consumer goods are concerned will also remain roughly unchanged; but the value-added tax, unlike the sales tax, will not apply to business investment goods. Total revenue is therefore estimated

to decline by some Kr. 740 million in a full year. To counteract this, a tax of 1 per cent on all wages and salaries and on private entrepreneurial income has been proposed, estimated to yield Kr. 725 million a year. These changes will lead to a re-distribution of taxation between sectors, favouring the most capital-intensive branches such as the iron and steel, and forest industries while, e.g., the service industries and the building and construction sector will be adversely affected. In order to avoid postponement of investment in machinery from 1968 to 1969 because of the proposed changes in taxation, a 10 per cent tax allowance will be given for such investment undertaken in 1968.

Monetary Policy

The easier monetary and credit policy adopted in the second half of 1966 was continued in 1967. The discount rate was lowered from 6 to 5.5 per cent in February and further to 5 per cent in March. The banks reduced their lending rates correspondingly. As already noted, the discount rate was increased to 6 per cent in December to counter a speculative outflow of funds, but was promptly reduced to 5.5 per cent last February when more stable conditions in the foreign exchange market had been restored.

To stimulate business fixed capital formation and stock-bulding, investment reserves blocked in the Central Bank were released in several steps:

(*a*) On 12th May funds were released for investment in machinery ordered between 19th May and 30th September 1967 and delivered before lst March 1968; for investment in building started after 19th May and undertaken before lst March 1968; and for investment in the forestry sector in the second half of 1967.

(*b*) On 26th October the National Labour Market Board was authorized to give permission for the use of investment reserves for investment in stocks if a favourable effect on employment could be expected during the winter.

(*c*) On 8th December reserves were released for investment in machinery ordered betwen 8the December 1967 and 3lst March 1968 and delivered before 30th June 1968.

The Swedish authorities have estimated that, in 1967, the release of investment reserves contributed to the financing of investment projects worth Kr. 1 640 million (9 per cent of business fixed investment). Kr. 1 207 million was financed by investment reserves, of which Kr. 576 million released from the Central Bank.

The large budget deficit and the release of investment funds from the Central Bank were the most important factors behind the strong liquidity expansion in 1967. Commercial banks increased their liquid assets by more than Kr. 3 billion compared to Kr. 1.7 billion in 1966.

Table 11 Monetary Indicators
Change during the year, Kr. million

	1964	1965	1966	1967
CENTRAL BANK:				
Foreign assets, net	819	–338	171	–869
Swedish bonds and treasury bills	–330	414	943	277
Domestic advances	–136	273	–331	1 211
COMMERCIAL BANKS:				
Liquid assets[1]	649	–341	1 770	3 057
of which: foreign assets, net	2	115	53	829
Domestic advances	1 986	2 674	1 827	3 184
Domestic deposits	2 229	1 082	2 572	4 714
MONEY SUPPLY[2]	1 270	1 080	1 440	1 770
OUTSTANDING BONDS	3 489	3 052	4 991	7 351
SHARE ISSUES[3]	509	865	857	1 335

1 Including bond holdings.
2 Currency outside the banks plus demand deposits in banks (IMF definitions).
3 Excluding bonus issues to shareholders.
Sources: Monthly Digest of Swedish Statistics and International Financial Statistics.

The total volume of funds raised in credit and capital markets rose from Kr. 12.7 billion in 1966 to Kr. 17.3 billion in 1967. The Government borrowed much more than in 1966 because of the higher budget deficit. The business sector also increased its borrowing significantly, despite the declines in business fixed investment and stockbuilding. As profits seem to have increased in 1967, the liquidity position of the business sector improved markedly. It has been estimated by Swedish authorities that the liquidity reserves of industry and commerce rose by Kr. 1 billion in 1967, twice the decrease that took place in 1966. Housebuilders and the municipalities also raised more than earlier, given the strong increase in their investment activities.

The supply of funds in 1967 was strongly influenced by the high increase in commercial bank lending, which represented over one-third of the total supply of new credits. The banks' domestic advances as well as their purchases of securities increased strongly. The commercial banks

Table 12 **The Credit Market**
Net Flows, Kr. million

	Central government	Local authorities	Dwellings	Industry and commerce	Total
1961 Total	–350	400	2 650	1 700	4 400
1962 —	–600	900	3 000	3 800	7 100
1963 —	200	950	3 800	3 550	8 500
1964 —	250	1 450	4 400	3 100	9 200
1965 —	–250	1 150	4 650	4 750	10 300
1966: The Riksbank	877	6	42	112	1 037
Commercial banks	–92	252	785	1 705	2 650
Other banks	–105	752	1 946	610	3 203
Private insurance institutions	6	66	648	579	1 299
Public insurance institutions	227	331	2 082	1 132	3 772
Other	339	–52	–19	466	734
Total	1 252	1 355	5 484	4 604	12 695
1967: The Riksbank	331	20	142	160	653
Commercial banks	1 325	179	2 358	2 056	5 918
Other banks	293	893	1 945	701	3 832
Private insurance institutions	–30	96	682	668	1 416
Public insurance institutions	241	461	1 663	1 807	4 172
Other	848	56	64	396	1 364
Total	3 008	1 705	6 854	5 788	17 355

Source: Sveriges Riksbank.

contributed importantly to the financing of residential construction both by direct lending and by purchase of mortgage bonds, and they increased their lending to the Central Government by Kr. 1.3 billion, representing almost the half of the Government's borrowing requirement. As in the preceding years, the National Pension Insurance Fund supplied about one-fourth of new credits, of which about half going to residential construction.

Activity in the capital market increased significantly in the second half of 1966, with especially large bond issues by the Government and the mortgage institutions. This development continued in 1967, and as also the industrial sector was permitted to raise funds in the market to a much larger extent than earlier, total bond issues during 1967 amounted to Kr. 9 billion against Kr. 7.2 billion in 1966. The volume of share issues also rose by Kr. 500 million.

Effective bond yields on new issues fell by 1 per cent after the lowering of the discount rate early in 1967 and then remained fairly stable to December when the increase in the discount rate from 5 to 6 per cent was accompanied by a $\frac{3}{4}$ per cent increase in long-terme market rates. When the discount rate was reduced to 5.5 per cent in February, issue rates fell by $\frac{1}{4}$ per cent.

Labour Market Policy

Manpower policy probably plays a larger role in Sweden than in most other OECD countries. In recent years a prominent objective of manpower policy has been to increase the supply of manpower. In the period 1961-1965 there was a marked increase in net immigration, thus accounting for about a third of the total increase in population. With regard to domestic manpower, the emphasis has been on measures to increase labour mobility, to retrain workers and to create new jobs.

The weaker trend in employment experienced in 1967 led the authorities to increase the resources available for retraining of labour, for increased mobility and protection of old or handicapped workers as well as support to regions particularly hit by unemployment. During 1967 almost 70 000 persons took part in retraining courses and the number of retraining places increased by 10 000. The duration of such courses is from 3 months to two years with an average of more than a half-year.

Table 13 **Effects on Employment of Labour Market—and Other Measures**
Number of persons

	1966		1967		1968
	Feb.	Nov.	Feb.	Nov.	Feb.
Employment resulting from[1]:					
Retraining courses	20 200	21 600	25 000	27 600	33 800
Relief works[2]	11 500	9 100	15 800	13 400	24 500
Release of investment funds	—	—	—	7 000	12 000
Increased public investments	—	—	—	2 000	7 000
Advanced public orders to industry	—	—	—	—	2 000
Different forms for protected employment	8 000	9 000	10 000	12 000	15 000
Special relief works and education for young people	—	—	—	—	5 000
Total	39 700	39 700	50 800	62 000	99 300

1 Except for retraining courses and relief works the figures are estimates.
2 General relief works and relief works for handicapped.
Source: Swedish National Labour Market Board.

Furthermore, the number of persons employed in relief works was on average 4 500 more in 1966 than in 1967. Table 13 shows the effect on employment of labour market measures and other measures recently taken. The Swedish authorities have estimated that these measures will secure the employment of about 100 000 persons early in 1968. The budget for 1968/60 envisages an increase of 40 per cent (from Kr. 1 320 million to Kr. 1 840 million) in appropriations for manpower and regional policies; this means that over 20 per cent of the total increase in appropriations will go into this field.

III PROSPECTS AND POLICY ISSUES

Prospects

The Swedish authorities expect a 4.2 per cent increase in GDP from 1967 to 1968. The forecast assumes an increase in the volume of exports of goods of 6.5 per cent, with a rise in merchandise exports excluding ships of 8.5 per cent in value and 7 per cent in volume. The export forecast is partly based on a recent survey of expectations of main exporting industries. It is expected that a recovery of fixed investment and inventory accumulation in EEC countries and stronger expansion in the United States will have favourable effects on Swedish exports, while some adverse impact is likely to result from the devaluations of pound sterling and other currencies.

The expected increase in domestic demand reflects partly a recovery of inventory accumulation following the declines of the two preceding years. The larger part of this is likely to result from an increase in stocks of raw materials and goods in the process of production mainly in the engineering and shipbuilding industries. In other sectors, inventory accumulation is expected to remain relatively weak also in 1968.

The authorities expect final domestic demand, excluding stockbuilding, to rise by about 4 per cent, slightly more than in 1967 (3.5 per cent), in spite of a somewhat slower advance in residential construction and public expenditure on goods and services, which were increased strongly by policy measures last year. According to present plans, the number of dwelling starts this year may be about the same as in 1967. But due to the large number of dwellings under construction at the end of last year, investment in housing should increase somewhat. Taking residential construction and public expenditure on goods and services together, an increase of 7.5 per cent last year may be followed by one of 6.5 per cent in 1968.

Table 14 **Prospects for GDP in 1968**

	1967 Kr. mill.	Percentage change in volume from previous year 1967	1968
Private investment[1]	17 606	–2.3	–0.5
Investment in dwellings	8 806	13.9	3.5
Public expenditure[1]	36 878	6.1	7.5
Private consumption	66 172	2.5	3
Change in stocks	326	0.3[2]	0.8[2]
DOMESTIC DEMAND	129 788	2.2	4.5
Export of goods and net services	23 935	5	5.7
Import of goods	24 329	2.5	6.7
GROSS DOMESTIC PRODUCT	129 394	2.7	4.2

1 Excluding investment in dwellings.
2 Per cent of GDP.
Source: Revised National Budget for 1968.

The authorities expect the level of business fixed investment to change little between 1967 and 1968. Financial conditions should even permit an increase; monetary conditions are easy and the liquidity position of the business sector improved considerably last year in part due to the release of investment funds. The stimulative effect of this release will come to an end in the first half of this year, but a fresh release was decided in April to stimulate investment in the winter 1968/69. Prospects for the second half of 1968 have thus improved. But recent business surveys have shown that the average rate of capacity utilisation in industry fell in 1967, perhaps significantly in some branches. Moreover, the release of investment funds in 1967 probably meant that some projects planned for 1968 were accelerated and undertaken or started in 1967. In manufacturing, fixed investment may rise by 4.5 per cent between 1967 and 1968. The forecast rise may seem moderate after the stagnation experienced in 1967, but the investment activity in manufacturing will nevertheless be on a high level this year because of the sharp increases in 1965 and 1966.

Private consumption is expected to rise by 3 per cent, somewhat faster than last year. The increase in disposible incomes may be smaller than in 1967, but with a slowdown of the rise in prices, the growth of personal income in real terms may accelerate. The personal savings ratio is expected to decline a little. Automobile sales are expectd to recover,

following the declines in the two previous years. The private consumption estimate is based on an increase in hourly wages and salaries of 6.5 per cent, of which less than 5 per cent resulting from existing wage contracts and 1.5 per cent from wagedrift.

The expected advance in GNP should slightly surpass the growth of capacity. The trend rate of growth of output per man-hour is estimated to more than 4 per cent, and the labour force is growing, but only insignificantly. This year, like in 1967, the standard working week was reduced by 50 minutes (about 2 per cent) in February. As the shortening of the working week did not affect the total employed labour force, capacity may be estimated to grow by nearly 4 per cent this year. With moderately higher increase in output, unemployment can be expected to decrease only slightly. This suggests that wagedrift could be relatively moderate in 1968 also. And with existing wage agreements providing for somewhat smaller increases in rates than in the two preceding years, hourly earnings should increase less than earlier and the rise in prices may remain moderate.

Imports would seem likely to increase faster than in 1967, reflecting notably recoveries in automobile sales and stockbuilding. The invisible balance may deteriorate somewhat because of growing tourist expenditure abroad. Shipping earnings are unlikely to change much. Nevertheless, with the acceleration of the rise in exports assumed by the authorities, the current external deficit should remain small. If an estimate of unrecorded current account receipts is included, the current deficit may not exceed $ 100 million, and should not give rise to financing problems.

Policy Conclusions

As in 1967, the authorities have adopted a relatively cautious demand management policy, influenced by the desire to consolidate the improvements of the balance of payments and the price/cost performance achieved last year. This is reflected in the fact that, with the expansion of activity expected in 1968, a certain margin of slack is likely to remain in the economy. In view of the balance of payments situation, and given the strong rise in prices and costs in recent years, some prudence in respect of demand management policy would seem to be justified. The current external deficit is not very big, and cannot be said to represent a major problem. But it is an objective of Swedish policy to achieve a surplus as a basis for offsetting capital exports, particularly to developing countries—an objective which would seem very appropriate for a country in Sweden's position. It would seem important to achieve a more stable

trend in costs and prices than that experienced in recent years. The avoidance of excessive pressures on resources should serve to restrain wagedrift and help to keep the increase in negotiated rates within reasonable limits when existing wage contracts come up for re-negotiation in the autumn.

The rise in the value of commodity exports expected by the Swedish authorities (8.5 per cent) is rather faster than the likely growth of Sweden's markets abroad (6-7 per cent), given the trends now foreseen in activity in OECD countries. The forecast may therefore entail an important rise in Sweden's share of foreign markets. It is not impossible that this will be achieved; the strong increase in certain important exports, such as iron ore and pulp expected by Swedish exporters points to the possibility that the commodity pattern of world trade will be favourable to Sweden; and the existence of some slack, particularly in the export industries, will be conducive to a strong increase in exports. Furthermore, the level of exports in the first quarter of 1968, seasonally adjusted, was already higher than the forecast average for the whole of the year. But the tendency in recent years has been for Sweden's share of foreign markets to decline slightly rather than rise, and the devaluation of the pound sterling and other currencies will make it difficult to increase market shares this year, and might even point to some decline.

There may thus be a risk that exports—and therefore aggregate demand—will rise less than assumed, entailing a further reduction in the pressure of demand. In this event, as it is important both for Sweden and other countries that demand should rise at the maximum rate compatible with internal stability, it would be desirable to take prompt action to stimulate demand. Developments last year showed that the authorities are well equipped to tackle such a situation. If exports should rise less than assumed, and the expansion of aggregate demand was well maintained, the balance of payments would be likely to suffer. Although official reserves are not particularly high, representing barely 2.5 months' merchandise imports, some loss might be tolerable in the interest of maintaining a high level of activity.

The risk of an excessive increase in demand would seem to be smaller, given the nature of the demand policies adopted this year. But it is clearly possible that exports could rise even faster than now assumed. And this might in turn lead to a recovery of business fixed investment demand, facilitated by the improvements of the liquidity positions of business firms as well as banks experienced last year. Given the uncertainties prevailing in the present situation, great flexibility in policy-making is clearly important.

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STATISTICAL ANNEX

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Table A **Supply and Use of Resources**
Kr. million, current prices

	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967
Consumers' expenditure on goods and services	30 917	32 573	34 859	36 451	38 460	41 522	44 894	48 674	52 809	57 874	62 045	66 172
General government current expenditure on goods and services	8 581	9 477	10 081	10 777	11 427	12 352	14 156	15 792	17 442	19 775	22 885	25 781
Defence	2 406	2 559	2 686	2 822	2 974	3 017	3 626	3 802	4 076	4 389	4 942	4 747
Civil	6 175	6 918	7 395	7 955	8 453	9 335	10 530	11 990	13 366	15 386	17 943	21 034
Gross fixed asset formation	9 905	10 679	11 721	12 932	14 317	15 855	17 307	19 256	21 459	23 495	25 920	28 826
Change in stocks	721	1 234	–76	–180	1 827	1 218	635	164	1 353	2 431	1 408	445
National Expenditure	50 124	53 963	56 585	59 980	66 031	70 947	76 992	83 886	93 063	103 575	112 258	121 224
Exports of goods and services (non-factor)	12 864	14 335	13 770	14 409	16 537	17 466	18 467	19 995	22 726	24 450	26 078	27 673
Imports of goods and services (non-factor)	13 063	14 505	14 141	14 492	17 200	17 349	18 384	19 990	22 678	25 705	27 172	28 171
Gross Domestic Product at Market Prices	49 925	53 793	56 214	59 897	65 368	71 064	77 075	83 891	93 111	102 320	111 164	120 726
Income payments from the rest of the world	190	235	240	240	244	270	317	305	428	443	501	499
Income payments to the rest of the world	60	83	90	100	96	124	123	121	169	243	290	308
Gross National Product at Market Prices	50 055	53 945	56 364	60 037	65 516	71 210	77 269	84 075	93 370	102 520	111 375	120 917
Indirect taxes	4 859	5 188	5 800	6 185	7 571	8 480	9 878	10 815	11 903	13 419	15 624	16 886
Subsidies	656	724	1 006	880	955	1 167	1 249	1 257	1 367	1 546	1 818	1 785
Gross National Product at Factor Cost	45 852	49 481	51 570	54 732	58 900	63 897	68 640	74 517	82 834	90 647	97 569	105 816

Source: Swedish submission to the OECD.

Table B **Supply and Use of Resources**
Kr. million, 1959 prices

	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967
Consumers' expenditure on goods and services	33 793	34 219	35 156	36 451	37 035	38 952	40 320	42 399	44 650	46 688	47 470	48 676
General government current expenditure on goods and services	9 525	9 764	10 220	10 777	10 819	11 192	11 979	12 672	13 284	14 072	14 952	15 665
Defence	2 617	2 591	2 683	2 822	2 824	2 756	3 136	3 168	3 252	3 289	3 475	3 132
Civil	6 908	7 173	7 537	7 955	7 995	8 436	8 843	9 504	10 032	10 783	11 477	12 533
Gross fixed asset formation	10 417	10 759	11 747	12 932	13 456	14 414	15 085	16 244	17 383	17 975	19 094	20 363
Change in stocks	620	1 114	–92	–180	1 744	1 162	584	148	1 243	2 188	1 312	346
NATIONAL EXPENDITURE	53 355	55 856	57 031	59 980	63 054	65 720	67 968	71 463	76 560	80 923	82 828	85 050
Exports of goods and services (non-factor)	12 386	13 502	13 490	14 409	16 149	16 841	18 025	19 198	21 176	22 042	23 256	24 376
Imports of goods and services (non-factor)	12 580	13 562	13 835	14 492	16 930	17 014	17 897	19 077	20 932	23 289	24 062	24 781
GROSS DOMESTIC PRODUCT AT MARKET PRICES	54 161	55 796	56 686	59 897	62 273	65 547	68 096	71 584	76 804	79 676	82 022	84 645

Source: Swedish submission to the OECD.

Table C **Gross Fixed Asset Formation**
Kr. million, 1959 prices

	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966
BY INDUSTRY:											
Agriculture, forestry and fishing	461	466	451	474	503	585	606	646	692	776	748
Mining and quarrying	142	142	164	166	121	114	156	210	231	177	144
Manufacturing	1 947	1 919	2 309	2 499	2 859	3 544	3 525	3 558	3 307	3 673	4 035
Construction	227	251	277	318	273	293	279	354	346	359	353
Electricity, gas and waterworks	1 145	1 237	1 422	1 538	1 552	1 635	1 544	1 591	1 814	1 795	1 697
Transportation and communication	2 413	2 490	2 565	2 991	3 254	3 013	3 190	3 368	3 710	3 623	4 123
Dwellings	2 704	2 764	2 972	3 109	3 039	3 269	3 546	3 827	4 250	4 390	4 298
Public administration	201	250	258	286	281	284	340	463	531	581	583
Other service industries	1 177	1 240	1 329	1 551	1 574	1 677	1 899	2 227	2 501	2 649	2 748
Total	10 417	10 759	11 747	12 932	13 456	14 414	15 085	16 244	17 382	18 023	18 729
INSTITUTIONAL CLASSIFICATION:											
Private enterprise	6 158	6 171	6 907	7 356	8 099	8 918	9 121	9 652	10 091	10 227	10 904
Public enterprise	2 595	2 729	2 896	3 287	3 392	3 544	3 843	3 960	4 313	4 643	4 488
General government	1 664	1 859	1 944	2 289	1 965	1 952	2 121	2 632	2 978	3 153	3 337
PRODUCT CLASSIFICATION:											
Dwellings	2 704	2 764	2 972	3 109	3 039	3 269	3 546	3 827	4 250	4 390	4 298
Other building and construction	4 059	4 189	4 621	5 263	5 470	5 749	5 930	6 600	7 031	7 354	7 586
Transport equipment	1 337	1 395	1 394	1 519	1 854	1 690	1 816	1 815	1 940	1 884	2 308
Other equipment	2 317	2 411	2 760	3 041	3 093	3 706	3 793	4 002	4 161	4 395	4 537

Source: Swedish submission to OECD.

NOTE The above table has not been revised by the Swedish authorities. Consequently the figures for most recent years do not conform completely with the figures given in Table B.

Table D Main Economic Indicators

		1965				1966				1967			
		Q.1	Q.2	Q.3	Q.4	Q.1	Q.2	Q.3	Q.4	Q.1	Q.2	Q.3	Q.4
INDICATORS OF NATIONAL PRODUCT (billion 1959 kronor):													
Consumers' expenditure	adj.	11.52	12.20	11.20	11.65	11.67	11.75	12.01	11.89	12.15	12.14	12.08	12.20
Gross fixed investment	adj.	6.61	6.51	6.72	6.60	6.65	7.05	6.88	7.32	6.92	7.06	7.27	7.56
INDUSTRIAL PRODUCTION:													
Total (1963 = 100)	orig.	123	125	99	129	129	131	101	133	131	135	104	139
	adj.	118	118	121	121	123	124	123	125	126	128	128	131
Manufacturing (1963 = 100)	orig.	123	125	99	129	129	131	101	134	132	135	105	139
	adj.	117	119	121	121	124	124	123	126	126	127	127	131
Metal products (1963 = 100)	orig.	128	126	98	135	139	139	102	143	141	141	105	145
	adj.	119	120	117	126	129	131	123	124	131	132	129	137
Commodity output: Crude steel (quarterly averages, thousand tons)		1 297	1 120	1 038	1 257	1 296	1 226	968	1 270	1 242	1 217	989	1 312
NEW ORDERS (1963 = 100):													
Metal products, total		112	113	104	127	105	113	104	108	100	109	93	109
CONSTRUCTION:													
Housing started (thousands)		15.0	23.9	20.9	33.1	12.7	20.2	22.0	39.1	14.4	31.8	32.5	20.1
LABOUR (thousands):													
Employment in mining and manufact. (labour force survey all employees)		1 272	1 258	1 282	1 268	1 244	1 232	1 242	1 208	1 180	1 163	1 209	1 225
Unemployment (registered unemployed)[1]	orig.	25.4	14.8	8.7	17.6	38.4	19.0	10.6	20.7	39.5	26.2	18.7	30.8
	adj.	16.1	15.6	15.6	18.6	26.2	19.7	19.0	22.1	25.0	28.8	33.6	33.8
Jobs vacant (outstand. vacancies)[1]	orig.	45.1	62.3	59.5	48.2	41.4	53.5	48.7	34.9	28.7	38.8	36.0	26.9
	adj.	53.6	54.0	54.0	53.6	49.3	46.4	43.9	38.8	34.2	33.6	32.3	29.9
FOREIGN TRADE ($ million, montly rates):													
Imports cif	orig.	364	358	348	390	394	376	352	403	398	382	378	414
	adj.	358	363	376	365	387	380	379	381	396	378	410	391
Exports fob	orig.	314	325	313	378	328	368	332	401	349	412	340	412
	adj.	338	317	331	343	352	358	351	365	379	398	362	377

1 Quarterly averages of mid-month figures.

Source: OECD Main Economic Indicators.

NOTE Orig.: Series prior to seasonal adjustment.
Adj.: Series adjusted for seasonal variations.

Table E **Industrial Production**
1959 = 100

	1961	1962	1963	1964	1965	1966	1967
Iron ore mines	130	126	131	148	161	154	157
Foodstuffs	109	115	117	122	125	130	132
Textiles	109	111	117	120	118	110	114
Shoes	100	104	109	111	103	85	83
Ready made clothing	115	120	126	131	131	126	131
Wood	115	120	129	145	158	160	164
Pulp	121	108	118	136	142	135	143
Paper and paper board	119	121	137	149	154	157	163
Rubber	121	121	128	146	159	155	158
Quarrying, clay, glass	116	122	134	154	166	173	179
Iron and metals	129	136	144	165	181	187	186
Metal and engineering	121	134	140	152	169	183	181
Mining and manufacturing total	118	125	133	146	158	164	166

Source: Central Bureau of Statistics and National Institute of Economic Research, Stockholm.

Table F Wages and Prices

	1965				1966				1967			
	Q.1	Q.2	Q.3	Q.4	Q.1	Q.2	Q.3	Q.4	Q.1	Q.2	Q.3	Q.4
WAGES[1]												
Average hourly earnings in mining and manufacturing (February 1947 = 100) total	417	428	426	438	443	453	467	478	496	511	504	513
of which:												
Mining	399	418	409	422	421	435	441	451	474	480	472	482
Metal and engineering	408	415	414	426	431	438	452	463	480	491	487	495
PRICES												
Consumer prices, 1949 = 100	185	187	193	195	199	202	203	205	209	211	212	213
Foodstuffs	220	223	232	234	237	242	243	246	247	250	251	251
Beverages and tobacco	203	203	218	218	226	230	231	232	236	243	243	244
Housing, fuel and light	177	181	181	180	191	191	192	193	198	195	202	201
Clothing and shoes	142	143	147	150	150	151	152	155	155	157	158	159
Furniture and household equipment	155	156	162	162	162	163	163	164	165	167	167	167
Miscellaneous	179	181	185	186	193	196	199	200	207	210	211	212
Net consumer prices (excl. indirect taxes) 1959 = 100	117	119	119	120	123	124	125	126	129	129	130	130
Wholesale prices, 1949 = 100	172	173	172	174	177	179	177	178	178	178	178	179

1 Retroactive wage increases for the second quarter of 1966 and onwards were paid out towards the end of the year. This leads to an abnormal increase in the figures for the first and second quarter of 1967.

Source: Monthly Digest of Statistics and Ministry of Finance.

Table G **Imports by Commodity Groups**[1]
Kr. million

	1961	1962	1963	1964	1965	1966	1967
Food, beverages, tobacco	1 755	1 931	2 117	2 447	2 501	2 825	2 783
Raw materials	1 330	1 245	1 334	1 476	1 713	1 751	1 554
Mineral fuels, etc.	2 050	2 166	2 372	2 508	2 477	2 686	2 725
Chemicals	1 152	1 240	1 323	1 557	1 746	1 885	2 045
Manufactured goods	4 802	4 961	5 409	6 298	7 464	7 687	8 132
Non-electric machinery	1 790	1 982	2 058	2 343	2 796	3 093	3 189
Electric machinery	1 005	1 060	1 140	1 302	1 530	1 627	1 795
Transport equipment	1 269	1 569	1 798	2 015	2 417	2 150	2 106
Total	15 151	16 154	17 552	19 946	22 644	23 704	24 329

1 According to the Revised SITC.
Source: Monthly Digest of Swedish Statistics.

Table H Exports by Commodity Groups[1]
Kr. million

	1961	1962	1963	1964	1965	1966	1967
Food, beverages, tobacco	444	508	541	530	596	636	644
Raw materials	4 377	4 230	4 594	5 492	5 626	5 551	5 461
Chemicals	413	459	535	642	721	830	888
Manufactured goods	4 364	4 573	5 066	5 876	6 417	7 216	7 772
Non-electric machinery	2 262	2 666	2 658	2 983	3 230	3 875	4 082
Electric machinery	629	738	860	1 124	1 160	1 362	1 465
Transport equipment	1 709	1 957	2 314	2 367	2 791	2 601	3 113
Total	14 198	15 129	16 568	19 014	20 541	22 071	23 425

1 According to the Revised SITC.
Source: Monthly Digest of Swedish Statistics.

Table I **Imports by Area (Countries of Origin)**
US $ million, monthly rates

	1961	1962	1963	1964	1965	1966	1967[2]
World	243.2	259,3	282.2	320.8	364.9	381.2	391.9
OECD COUNTRIES:	196.8	210.8	228.0	259.9	295.3	306.0	315.4
Canada	1.6	2.0	2.4	3.0	3.1	3.9	2.7
United States	27.6	26.3	28.4	32.2	34.6	35.6	36.4
Japan	2.8	2.8	3.0	3.9	5.1	4.9	5.6
EEC:	97.2	105.6	109.8	119.9	137.0	137.5	137.9
Belgium-Luxembourg	8.5	8.2	7.8	9.0	10.7	10.6	9.5
France	8.9	10.7	10.9	13.0	15.1	16.4	19.0
Germany	54.0	57.2	60.7	69.0	78.6	76.9	75.6
Italy	7.8	9.4	9.8	10.5	12.8	12.9	14.8
Netherlands	17.9	20.1	20.6	18.4	19.7	20.7	19.0
EFTA:	64.2	70.4	81.0	96.2	110.6	118.9	126.9
Austria	2.9	2.6	3.0	3.5	4.2	5.1	5.9
Denmark	11.2	12.4	15.8	20.0	22.8	24.0	27.2
Norway	9.8	11.2	12.6	15.5	19.9	21.0	23.4
Portugal	0.8	0.9	1.1	1.6	1.8	1.8	2.9
Switzerland	5.2	6.0	6.3	7.4	8.3	8.6	9.9
United Kingdom	34.3	37.2	42.2	48.4	53.6	58.4	57.5
Other OECD countries	3.4	3.7	3.6	4.6	5.0	5.2	5.9
NON-OECD COUNTRIES:	46.4	48.5	54.2	60.9	69.6	75.2	76.6
Eastern Europe and China mainland	11.0	12.1	13.5	14.3	16.3	18.0	18.5
Finland	4.1	4.8	4.7	6.2	8.1	10.7	11.1
Other developed countries[1]	1.8	1.8	1.8	1.8	2.6	2.6	2.3
Developing countries	29.5	29.8	34.2	38.6	42.6	43.9	44.7

1 Australia, New Zealand and South Africa.
2 Preliminary figures.
Source: OECD Foreign Trade Statistics, Series A, Overall Trade by Countries.

Table J **Exports by Area (Countries of Destination)**
US $ million, monthly rates

	1961	1962	1963	1964	1965	1966	1967[2]
World	228.0	243.4	266.6	305.8	331.1	356.1	377.3
OECD COUNTRIES:	176.3	186.1	208.1	240.5	263.4	281.4	295.1
Canada	1.9	1.9	2.4	2.8	3.9	5.8	5.2
United States	11.3	13.6	14.8	16.6	20.0	24.3	27.7
Japan	1.4	1.2	1.3	2.8	2.0	2.4	3.4
EEC:	75.2	80.1	85.4	96.7	102.9	107.8	101.0
Belgium-Luxembourg	9.0	9.1	10.0	11.4	11.6	11.9	12.1
France	9.8	10.8	12.6	15.4	16.1	19.4	17.6
Germany	35.8	37.2	37.8	43.7	47.9	46.1	41.6
Italy	7.9	9.8	11.5	10.6	10.2	12.8	13.5
Netherlands	12.6	13.3	13.5	15.7	17.2	17.6	16.5
EFTA:	81.0	82.8	95.5	112.2	124.3	128.6	145.1
Austria	1.8	1.7	2.3	2.6	3.1	3.5	4.5
Denmark	17.2	19.3	20.5	26.4	29.8	31.9	35.6
Norway	22.0	23.4	29.8	32.8	38.8	37.3	44.9
Portugal	1.3	1.3	1.2	1.3	1.8	3.0	2.0
Switzerland	4.6	5.2	5.8	6.5	6.8	7.7	8.3
United Kingdom	34.1	32.0	36.0	42.6	44.0	45.2	50.4
Other OECD countries	5.5	6.5	8.6	9.3	10.4	12.5	12.0
NON-OECD COUNTRIES:	51.6	57.3	58.5	65.3	67.7	74.7	82.2
Eastern Europe and China Mainland	10.2	13.2	11.5	15.2	14.0	15.7	19.5
Finland	10.5	11.1	11.5	14.4	16.7	19.3	19.3
Other developed countries[1]	5.8	5.8	6.9	9.0	8.4	7.7	7.9
Developing countries	25.1	27.2	28.6	26.8	28.5	32.0	35.6

1 Australia, New Zealand and South Africa.
2 Preliminary figures.
Source: OECD Foreign Trade Statistics, Series A, Overall Trade by Countries.

Table K **Balance of Payments**
$ million

	1961	1962	1963	1964	1965	1966	1967
Exports fob	2 736	2 920	3 191	3 665	3 963	4 253	4 506
Imports cif	2 894	3 088	3 352	3 811	4 328	4 536	4 644
TRADE BALANCE	–158	–168	–161	–146	–365	–283	–138
Freight and insurance	399	441	489	528	551	577	606
Other transportation	–82	–102	–140	–190	–200	–214	–235
Travel	–37	–52	–71	–80	–113	–143	–178
Investment income	28	37	36	53	45	44	39
Government transactions	3	3	3	7	6	8	8
Other services	–76	–107	–119	–112	–128	–159	–164
GOODS AND SERVICES	77	52	37	60	–204	–170	–62
Private transfers	–1	–2	–1	–11	–12	–16	–19
Central government transfers	–9	–18	–27	–34	–40	–52	–61
CURRENT ACCOUNT	67	32	9	15	–256	–238	–142
Private long-term capital	21	59	–86	81	41	132	78
Private short-term capital	—	—	1	4	12	36	41
Local government borrowing	—	—	—	1	—	—	—
Central government	2	–15	12	24	8	23	–5
Errors and omissions	91	7	40	57	204	141	–6
NON-MONETARY TRANSACTIONS	181	83	–24	182	9	94	–34
Change in central bank's foreign assets	192	89	–45	200	2	56	–194
Change in commercial banks' foreign assets[1]	–11	–6	21	–18	7	38	160

1 Including time position.
Source: Swedish submission to the OECD.

Table L **Central Government Income and Expenditure**[1]
Fiscal years beginning July
Kr. million

	1958/59	1959/60	1960/61	1961/62	1962/63	1963/64	1964/65	1965/66	1966/67
Current revenue	11 832	12 854	15 414	16 732	18 509	19 505	22 790	26 440	28 872
Direct taxes	5 723	5 797	6 918	7 508	7 794	7 686	9 851	11 021	11 756
Indirect taxes	5 354	6 159	7 528	8 156	9 531	10 648	11 508	13 778	15 283
Other	755	898	968	1 068	1 184	1 171	1 432	1 641	1 833
Current expenditure	10 543	11 312	11 988	12 993	14 963	16 054	18 817	21 932	24 770
Purchases of goods and services	4 605	4 924	5 224	5 888	6 737	7 365	8 446	9 771	10 971
Defence	2 739	2 882	2 895	3 288	3 664	3 917	4 240	4 786	4 980
Civil	1 866	2 042	2 329	2 600	3 073	3 448	4 206	4 985	5 991
Subsidies	715	699	778	881	883	910	1 059	1 234	1 304
Interest	599	763	1 011	899	793	815	875	917	885
Current transfers	4 624	4 926	4 975	5 325	6 550	6 964	8 437	10 010	11 610
NET CURRENT SAVINGS	1 289	1 542	3 426	3 739	3 546	3 451	3 973	4 508	4 102
Depreciations and other operating provisions	637	760	871	874	1 089	1 034	1 312	1 221	1 318
GROSS SAVINGS	1 926	2 302	4 297	4 613	4 635	4 485	5 285	5 729	5 420
Gross fixed asset formation	2 115	2 353	2 281	2 319	2 558	2 847	3 079	3 135	3 604
SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT	–189	–51	2 016	2 294	2 077	1 638	2 206	2 594	1 816
Lending	1 146	1 254	1 156	1 233	1 234	1 005	1 360	1 933	2 384
Net capital transfers to other sectors	340	364	395	431	454	635	788	895	1 098
SURPLUS BEFORE BORROWING	–1 675	–1 669	465	630	389	–2	58	–234	–1 666

1 According to OECD definitions.
Source: Swedish submission to the OECD.

Table M **Central Government Finances**[1]
Calendar years
Kr. million

	1959 Actual	1960 Actual	1961 Actual	1962 Actual	1963 Actual	1964 Actual	1965 Actual	1966 Actual	1967 Prelim.	1968 Forecast
Current receipts	12 889	14 745	17 440	19 230	19 886	21 934	26 590	28 969	30 660	33 370
Direct taxes	6 422	6 790	8 553	8 921	8 556	9 549	12 201	12 484	12 970	14 080
Indirect taxes	5 452	6 812	7 634	8 931	9 841	10 777	12 227	14 247	15 360	16 620
Other	1 015	1 143	1 253	1 378	1 489	1 608	2 162	2 238	2 330	2 670
Current and investment expenditure	13 631	14 858	15 635	17 637	19 166	21 140	25 194	28 235	31 300	34 100
Transfer payments	7 168	7 926	8 549	9 531	10 195	11 454	13 730	15 671	18 500	19 720
Consumption	3 323	3 602	3 917	4 435	5 102	5 455	6 691	7 424	7 800	8 640
Gross investment	3 140	3 330	3 169	3 671	3 869	4 231	4 773	5 140	5 000	5 740
FINANCIAL SAVINGS	–742	–113	1 805	1 593	720	794	1 396	734	–640	–730
LENDING	1 031	1 114	1 219	995	794	981	1 377	2 031	2 290	2 570
OVERALL BALANCE	–1 773	–1 227	586	598	–74	–187	19	–1 297	–2 930	–3 300

1 According to Swedish definitions.
Source: National budgets for 1968 and previous years.

Table N **The National Pension Fund**
Kr. million

	1960	1961	1962	1963	1964	1965	1966	1967
Contribution paid	468	699	1 346	1 891	2 442	2 905	3 484	4 160
Pensions paid out	—	—	—	36	102	153	286	433
ASSETS BY KIND OF OBJECTS, NOMINAL VALUE END OF YEAR:								
Bonds	406	985	2 262	3 741	5 654	7 697	10 689	14 097
Debentures	15	23	140	264	401	587	731	1 018
Municipal loans excl. bonds	41	136	276	445	724	1 107	1 425	1 728
Other	18	61	170	314	573	1 132	1 868	2 530
Total	480	1 205	2 848	4 764	7 352	10 523	14 713	19 373
INVESTMENTS BY DIFFERENT GROUPS OF BORROWERS, CASH VALUES END OF YEAR:								
Government bonds	135	104	176	435	700	979	1 211	1 455
Housing credits	173	606	1 276	1 978	3 021	4 245	6 599	8 560
Agriculture	15	40	74	166	250	349	474	582
Municipal loans	61	154	342	665	1 140	1 673	1 964	2 427
Loans to Swedish enterprises	87	267	869	1 312	1 820	2 566	3 350	4 916
Other	—	19	83	208	350	631	1 019	1 338
Total	471	1 190	2 820	4 764	7 281	10 443	14 617	19 278

Source: Swedish submission to the OECD.

Table O Monetary Survey

End of period.

		1963	1964	1965	1966 Q.1	1966 Q.2	1966 Q.3	1966 Q.4	1967 Q.1	1967 Q.2	1967 Q.3	1967 Q.4
		Kr. million										
CENTRAL BANK:												
Assets:	Foreign assets, net and gold	3 619	4 476	4 206	4 260	4 458	4 512	4 380	4 190	4 378	4 365	3 513
	Swedish treasury bills and bonds	5 037	4 707	5 121	3 380	4 188	3 413	6 064	4 310	5 355	4 891	6 341
	Advances	240	104	377	1 237	869	1 428	46	1 284	553	473	1 257
Liabilities:	Notes in circulation	7 869	8 386	8 746	8 018	8 568	8 305	9 297	8 496	9 061	8 744	9 965
	Current deposits	306	218	237	118	117	179	215	162	141	182	237
	Other deposits[1]	867	969	1 140	1 268	1 321	1 294	1 277	1 398	1 367	1 102	989
COMMERCIAL BANKS:												
Assets:	Cash	554	482	523	347	443	342	485	322	359	329	538
	Foreign assets, net	751	644	685	612	475	679	847	980	1 285	1 437	1 705
	Bonds and treasury bills	6 480	7 111	6 716	6 429	5 914	6 974	7 928	8 708	8 147	8 846	10 241
	Advances:											
	i) Amounts drawn	19 348	21 334	24 008	25 441	26 029	26 243	25 835	26 332	27 198	28 366	29 019
	ii) Amounts granted	22 459	24 938	28 348	29 196	30 001	30 259	30 719	30 810	32 253	33 527	34 849
Liabilities:	Deposits	24 410	26 649	27 731	28 205	28 409	28 217	30 303	31 083	31 436	32 714	35 017
SAVINGS BANKS[2]:												
Assets:	Bonds and treasury bills	1 316	1 511	1 591	1 563	1 547	1 721	1 853	1 963	2 001	1 990	1 993
	Advances	12 668	13 530	14 719	15 102	15 376	15 743	16 246	16 556	16 884	17 436	18 057
Liabilities:	Deposits	13 531	14 544	15 776	16 929	16 964	17 486	17 764	19 057	19 200	19 661	19 976
		Per cent										
OTHER MONETARY DATA:												
Government bond yield[3]		4.93	5.64	6.18	6.55	6.80	6.52	6.35	5.89	5.90	5.95	6.80
Official discount rate		4.0	5.0	5.5	5.5	6.0	6.0	6.0	5.0	5.0	5.0	6.0

1 Mainly enterprises' investment reserve deposit.
2 Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3 Loans with 15 years left to maturity. Yearly figures are averages of monthly figures.

Source: Monthly Digest of Swedish Statistics, Uppgifter om Bankerna.

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